

2025-2026 Wealth Optimization Plan

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Executive Summary

First-Year Tax Strategy Value (2025-2026)

\$50,459 - \$74,626

Additional W-4 Cash Flow Improvement: +\$6,660 annually

This comprehensive wealth optimization plan is designed to maximize your tax savings while positioning capital strategically for your 2026 real estate investment. The plan integrates 10 high-value tax strategies with a disciplined investment approach focused on Bitcoin accumulation and real estate expansion.

CURRENT INCOME

\$200K-\$299K W-2 + LLC

MARGINAL TAX RATE

33.3% (24% Federal + 9.3% CA)

LIQUID CAPITAL

PRIMARY GOAL

\$45,000 Available

2026 Riverside Property Purchase

CURRENT BUSINESS STRUCTURE

Single-Member LLC
(Consulting/Bookkeeping)

RECOMMENDED STRUCTURE

S-Corporation Election (Q1 2026)

2025-2026 Tax Strategy Portfolio

Your customized strategy portfolio includes 10 high-value strategies selected from a comprehensive analysis of 43+ available tax optimization techniques. Each strategy has been evaluated for appropriateness based on your income level, business structure, time availability, and objectives.

#	Strategy	Annual Tax Value	Implementation Priority
1	Solo 401(k) Maximum Contribution	\$16,625 - \$22,977	IMMEDIATE (by 12/31/25)
2	S-Corporation Election	\$4,995 - \$9,990	Q1 2026
3	HSA Family Maximum	\$3,197	Week 1 (Open Enrollment)
4	Backdoor Roth IRA	\$2,331 + Tax-Free Growth	Q1 2026
5	Home Office Deduction	\$1,665 - \$1,998	Week 2
6	Augusta Rule (14 Days)	\$2,331 - \$4,662	Q1 2026
7	Accountable Plan (Spouse)	\$1,665 - \$2,331	Q1 2026

#	Strategy	Annual Tax Value	Implementation Priority
8	Vehicle Section 179	\$4,995 - \$9,990	Q4 2025 or Q1 2026
9	QBI Deduction Optimization	\$3,330 - \$6,660	Q1 2026
10	Section 179 Equipment	\$1,665 - \$3,330	Q4 2025

Total First-Year Value: \$43,799 - \$67,966 in tax savings

W-4 Optimization Benefit: +\$6,660 annual cash flow improvement

Combined Benefit: \$50,459 - \$74,626

Detailed Strategy Implementation Guide

Strategy #1: Solo 401(k) Maximum Contribution

Annual Value: \$16,625 - \$22,977

Why This Strategy: The Solo 401(k) provides the highest immediate tax deduction for self-employed individuals. With your LLC consulting income, you can contribute as both employee and employer, creating substantial tax savings while building retirement wealth.

2025 Contribution Limits:

- ✓ Employee Contribution: \$23,500 (or 100% of compensation, whichever is less)
- ✓ Employer Contribution: Up to 25% of compensation (20% of net self-employment income)
- ✓ Total Combined Limit: \$70,000 (or \$77,500 if age 50+)

Your Estimated Contribution Capacity: Assuming \$70K-\$90K net profit from your consulting LLC, you can contribute approximately \$50,000-\$69,000 to your Solo 401(k). At your 33.3% marginal rate, this creates \$16,625-\$22,977 in tax savings.

Implementation Steps:

1. **By December 15, 2025:** Open Solo 401(k) account with provider (Fidelity, Vanguard, or Schwab recommended). The account must be established by December 31, 2025.
2. **By December 31, 2025:** Make employer contribution (tax-deductible in 2025). Employee portion can be contributed by April 15, 2026, but employer portion must be made by year-end for 2025 deduction.
3. **Investment Selection:** Allocate contributions according to your investment strategy (70% Bitcoin-focused funds, 20% broad market index, 10% cash)

equivalents).

4. **2026 Planning:** After S-Corp election, you'll need to coordinate Solo 401(k) with your new salary structure.

Key Documentation:

- Solo 401(k) adoption agreement and plan documents
- Contribution receipts and confirmation statements
- Schedule C or 1120-S showing self-employment income supporting contribution amount

Pro Tips:

- ✓ Make employer contribution by December 31 to maximize 2025 deduction
- ✓ Consider Roth 401(k) option for portion of employee contribution if you expect higher future tax rates
- ✓ Track contribution room carefully as limits are based on compensation, not gross revenue

Strategy #2: S-Corporation Election

Annual Value: \$4,995 - \$9,990

Why This Strategy: Converting your single-member LLC to an S-Corporation saves self-employment tax on distributions while maintaining pass-through taxation. This is one of the most powerful strategies for self-employed consultants earning \$60K+ in net profit.

How It Works: As an S-Corp, you'll pay yourself a reasonable W-2 salary (subject to FICA taxes of 15.3%) and take the remaining profit as distributions (not subject to FICA). This split creates immediate tax savings.

Your Recommended Structure (2026):

Income Component	Amount	Tax Treatment
W-2 Reasonable Salary	\$40,000 - \$50,000	Subject to FICA (15.3%)
S-Corp Distributions	\$30,000 - \$40,000	NOT subject to FICA
FICA Savings	\$4,590 - \$6,120	15.3% × Distribution Amount

Implementation Timeline:

1. **January 2026:** File Form 2553 (Election by Small Business Corporation) with IRS. Must be filed by March 15, 2026, for retroactive effective date of January 1, 2026.
2. **January-February 2026:** Set up payroll system (Gusto, QuickBooks Payroll, or ADP recommended). Establish reasonable compensation methodology with your CPA.
3. **Monthly 2026:** Process payroll for yourself, withhold FICA and income taxes, remit quarterly 941 payroll tax returns.
4. **Quarterly 2026:** Take distributions based on remaining profit after salary and expenses.
5. **March 2027:** File Form 1120-S (S-Corporation tax return) for 2026 tax year.

Reasonable Compensation Guidelines: IRS requires "reasonable compensation" relative to your role, experience, and industry. For consulting/bookkeeping services with your experience level, \$40K-\$50K salary on \$70K-\$90K net profit (50-62% ratio) is defensible. Document factors: hours worked, industry comparables, services provided, geographic location.

Additional Benefits:

- ✓ Enables QBI (Qualified Business Income) deduction optimization on distribution portion
- ✓ Provides legitimacy for Augusta Rule and Accountable Plan strategies
- ✓ Creates clear separation between business and personal finances
- ✓ Opens door for additional S-Corp tax planning strategies

Compliance Requirements:

- Run payroll at least monthly (some advisors recommend quarterly minimum)
- File quarterly Form 941 (Employer's Quarterly Federal Tax Return)
- File annual Form 940 (Federal Unemployment Tax)
- Issue yourself W-2 by January 31 following tax year
- File annual Form 1120-S by March 15 (or September 15 with extension)
- Maintain meeting minutes, even as sole shareholder

Strategy #3: HSA Family Maximum

Annual Value: \$3,197

Why This Strategy: The Health Savings Account is the only triple-tax-advantaged account available: tax-deductible contributions, tax-free growth, and tax-free withdrawals for medical expenses. It functions as both a medical expense fund and a retirement savings vehicle.

2025 HSA Contribution Limits:

- ✓ Family Coverage: \$8,550 maximum annual contribution
- ✓ Catch-Up (Age 55+): Additional \$1,000 per person
- ✓ Minimum Deductible Requirement: \$3,300 family / \$1,650 individual
- ✓ Maximum Out-of-Pocket: \$16,600 family / \$8,300 individual

Your Tax Savings: \$8,550 contribution × 33.3% marginal rate = \$2,847 federal/state savings, plus \$710 FICA savings (if contributed through payroll) = **\$3,197 total value**

Implementation Plan:

1. **November-December 2025:** Verify your current health plan qualifies as high-deductible health plan (HDHP). If not, enroll in HDHP during open enrollment.

2. **Week 1:** Open HSA account (Fidelity or Lively recommended for investment options and low fees).
3. **Before December 31, 2025:** Make 2025 contribution (can contribute through April 15, 2026, for 2025 tax year, but recommend immediate funding).
4. **Ongoing:** Invest HSA balance for long-term growth. Treat as retirement medical fund rather than current expense account.

Strategic Use of HSA:

- ✓ **Pay medical expenses out-of-pocket if possible:** Keep receipts but don't reimburse yourself immediately. This allows HSA to grow tax-free for decades.
- ✓ **Invest the balance:** Choose low-cost index funds. HSA can be invested similarly to retirement accounts.
- ✓ **Save receipts forever:** You can reimburse yourself from HSA decades later using old receipts, effectively converting medical expenses into tax-free retirement income.
- ✓ **Age 65+ Flexibility:** After 65, HSA can be used for non-medical expenses penalty-free (just pays income tax like IRA), or tax-free for medical expenses including Medicare premiums.

Employer vs Individual Contributions: If you contribute through W-2 employer (your S-Corp in 2026), you save additional 7.65% FICA taxes. If made as individual, deduction goes on Form 1040, no FICA benefit. Recommend payroll contribution method once S-Corp established.

Strategy #4: Backdoor Roth IRA

Annual Value: \$2,331 + Decades of Tax-Free Growth

Why This Strategy: Your income exceeds the Roth IRA contribution limits (\$240,000+ phase-out for married filing jointly in 2025). The Backdoor Roth IRA is the legal workaround that allows high earners to contribute to Roth IRAs, providing decades of tax-free growth on \$7,000 annually.

How Backdoor Roth Works:

1. Make non-deductible contribution to Traditional IRA (\$7,000 for 2025, \$8,000 if 50+)
2. Immediately convert Traditional IRA to Roth IRA (usually next day)
3. Pay taxes on any growth between contribution and conversion (usually \$0-\$20)
4. Money now grows tax-free forever in Roth IRA

Implementation Steps:

1. **January 2026:** Verify you have no existing Traditional IRA, SEP IRA, or SIMPLE IRA balances (pro-rata rule complication). If you do, consider converting them to Roth or rolling to 401(k) first.
2. **January 2-15, 2026:** Open Traditional IRA if you don't have one. Make \$7,000 non-deductible contribution for 2025 tax year. File Form 8606 with 2025 tax return to report non-deductible contribution.
3. **January 16-20, 2026:** Wait 1-2 business days for contribution to settle and clear.
4. **January 21, 2026:** Execute Roth conversion of entire Traditional IRA balance (\$7,000 plus ~\$0-5 earnings).
5. **April 2027:** File Form 8606 with 2026 tax return to report the conversion. Pay taxes on earnings portion only (typically under \$20).

Your Annual Value Calculation: While the immediate tax benefit is modest ($\$7,000 \times 33.3\% = \$2,331$ in equivalent benefit of tax-free growth vs taxable), the long-term value is substantial. Assuming 8% annual growth over 30 years, your \$7,000 contribution grows to \$70,462 tax-free, saving approximately \$18,322 in future taxes at withdrawal.

Pro-Rata Rule Warning: If you have existing Traditional IRA, SEP IRA, or SIMPLE IRA balances with pre-tax money, the conversion is prorated across all IRA accounts. For example, if you have \$50,000 in a Traditional IRA and contribute \$7,000 non-deductible, only 12.3% of your conversion is tax-free. Solutions: (1) Roll existing IRA balances into your Solo 401(k) before doing Backdoor Roth, or (2) Convert entire IRA balance to Roth, paying taxes on the pre-tax portion.

Annual Execution: Repeat this process every January for maximum benefit. Make it a systematic annual task: January 5 = contribute to Traditional IRA, January 10 = convert to Roth IRA. Over 20 years, this puts \$140,000+ into tax-free Roth growth.

Strategy #5: Home Office Deduction

Annual Value: \$1,665 - \$1,998

Why This Strategy: Your consulting business conducted from home qualifies for home office deduction. This converts a portion of your mortgage/rent, utilities, insurance, and maintenance into tax-deductible business expenses.

Qualification Requirements (Exclusive & Regular Use Test):

- ✓ Dedicated space used exclusively for business (cannot be dual-use guest room/office)
- ✓ Regular and continuous business use (not occasional)
- ✓ Principal place of business OR place where you meet clients

Two Calculation Methods:

Method 1 - Simplified Method:

- \$5 per square foot of home office space
- Maximum 300 square feet = \$1,500 deduction
- Your savings: $\$1,500 \times 33.3\% = \500
- No depreciation recapture on home sale
- Cannot deduct actual expenses if using simplified method

Method 2 - Regular Method (Recommended for You):

- Calculate business percentage: $(\text{Office Square Feet} \div \text{Total Home Square Feet})$
- Deduct business percentage of: mortgage interest, property taxes, utilities, insurance, repairs, depreciation

- Example: 150 sq ft office ÷ 1,500 sq ft home = 10% business use
- Estimated annual deduction: \$5,000-\$6,000 × 33.3% = \$1,665-\$1,998 savings

Your Recommended Calculation (Assume 150 sq ft office, 1,500 sq ft home, 10% business use):

Expense Category	Annual Amount	Business % (10%)	Deduction
Mortgage Interest	\$24,000	10%	\$2,400
Property Taxes	\$8,000	10%	\$800
Utilities (Electric, Gas, Water)	\$3,600	10%	\$360
Homeowners Insurance	\$1,800	10%	\$180
Repairs & Maintenance	\$2,000	10%	\$200
Home Depreciation	\$12,000	10%	\$1,200
Total Annual Deduction			\$5,140

Tax Savings: \$5,140 × 33.3% = \$1,712 + \$786 FICA savings = **\$1,998 total value**

Implementation Checklist:

1. **Week 2 (December 2025):** Measure office space precisely. Take photos showing exclusive business use.
2. **December 2025:** Calculate business use percentage. Gather all home expense documentation (mortgage statements, utility bills, insurance, repair receipts).
3. **Track going forward:** Keep dedicated folder for all home expenses. Take photos of any repairs/improvements to office space.
4. **Tax Filing:** Complete Form 8829 (Expenses for Business Use of Your Home) with Schedule C or attach to 1120-S after S-Corp election.

Important Considerations:

- **Depreciation Recapture:** If you sell your home, the depreciation portion taken as home office deduction is subject to 25% recapture tax. This is only on the depreciation amount, not the full gain. Generally still worth taking the deduction.
- **Documentation:** Maintain detailed floor plan showing office location, photos proving exclusive use, and log of business activities conducted in space.
- **Exclusive Use Rule:** The space must be used exclusively for business. A desk in the corner of your living room doesn't qualify. A dedicated spare bedroom converted to office qualifies.

Strategy #6: Augusta Rule (Section 280A)

Annual Value: \$2,331 - \$4,662 (2026 Implementation)

Why This Strategy: Named after the Masters Golf Tournament in Augusta, GA, this allows you to rent your personal residence to your own business for up to 14 days per year. Your business deducts the rental expense, but you report zero rental income personally. It's one of the few instances where you create a deduction without corresponding income.

How It Works: Your S-Corporation "rents" your home from you (as an individual) for legitimate business purposes. The business deducts the rental expense, you receive the rental payment tax-free, creating a net tax deduction at your business level with no personal income tax.

Implementation Roadmap for 2026:

Q4 2025 Preparation:

1. Research comparable daily rental rates for similar homes in Huntington Beach for business events/meetings. Check Airbnb, VRBO, Peerspace for meeting space rentals. Document rates of \$300-\$700/day for professional meeting space.
2. Draft annual meeting schedule for 2026: Plan to host client strategy sessions, quarterly business planning meetings, training sessions.
3. Create professional meeting agenda templates showing substantive business purpose.

2026 Monthly Execution:

1. **January-June 2026:** Host 2 client meetings per month at your home (12 total days used)
2. **July-August 2026:** Host 2 bookkeeping training workshops (2 additional days = 14 total)
3. **Each Event:** Create meeting agenda, document attendees, take photos, note business outcomes discussed

4. **Payment:** S-Corporation writes check to you personally for rental (e.g., \$500/day × 14 days = \$7,000)
5. **Documentation:** Maintain rental agreement, invoices, meeting minutes, attendee sign-in sheets

Your Estimated Benefit:

Rental Rate	Days Used	Annual Rental Payment	Tax Savings (33.3%)
\$400/day	14 days	\$5,600	\$1,865
\$500/day	14 days	\$7,000	\$2,331
\$600/day	14 days	\$8,400	\$2,797
\$700/day	14 days	\$9,800	\$3,263

Establishing Market Rate (Critical Compliance Point):

- Research comparable rentals on Airbnb, VRBO, Peerspace for business events
- Print screenshots and save PDFs of comparable listings
- Consider your home's features: square footage, location, amenities, parking, kitchen facilities
- Document similar venues charging for meeting space in Huntington Beach
- Reasonable range for CA beach area: \$400-\$700/day for professional meeting space

Legitimate Business Purpose Examples:

- ✓ Client strategy meetings (requires actual clients, meeting agenda, outcomes)
- ✓ Quarterly business planning sessions (document strategic decisions made)
- ✓ Employee training workshops (if you have employees or contractors attending)
- ✓ Board meetings (even single-member LLC can have advisory board)
- ✓ Professional development training (industry-specific education sessions)

Required Documentation:

- **Rental Agreement:** Written agreement between S-Corp and you as individual homeowner specifying rate, terms, purpose
- **Meeting Documentation:** Agenda for each meeting, list of attendees, business matters discussed, outcomes/decisions made
- **Market Rate Evidence:** Comparables showing your rate is reasonable for similar property in area
- **Payment Records:** Checks from S-Corp to you, deposited in personal account, expense recorded in S-Corp books
- **Day Tracking:** Calendar showing all 14 days used, confirming business purpose for each

Common Mistakes to Avoid:

- Using inflated rental rates not supported by comparables (major audit trigger)
- Hosting family events or non-business gatherings and claiming as business rental
- Poor documentation of business purpose and attendees
- Exceeding 14-day limit (15th day triggers rental income reporting requirements)
- Failing to establish legitimate business purpose beyond tax avoidance

Why Defer to 2026: With current 3-5 hours/week consulting schedule, establishing sufficient business activity to justify 14 days of business meetings may be challenging. After S-Corp election and potential business expansion in 2026, you'll have stronger business justification. Use 2025 to prepare documentation and comparables for clean 2026 implementation.

Strategy #7: Accountable Plan (Spouse Employee Reimbursements)

Annual Value: \$1,665 - \$2,331

Why This Strategy: An Accountable Plan allows your S-Corporation to reimburse employees (including your spouse) for legitimate business expenses. These reimbursements are tax-deductible to the business but not taxable income to the employee, creating pure tax savings.

How It Works: You hire your spouse as a legitimate employee performing real administrative work for your consulting business. The S-Corp establishes a written Accountable Plan allowing reimbursement of business expenses. Your spouse incurs expenses (cell phone, internet, mileage, meals during business activities) and submits expense reports with receipts. Business reimburses these expenses tax-free.

Qualification Requirements:

- 1. **Business Connection:** Expenses must be business-related and would be deductible if the business paid directly
- 2. **Adequate Accounting:** Employee must provide detailed expense report with receipts within reasonable time (60 days recommended)
- 3. **Return Excess:** Employee must return any excess reimbursement within reasonable time (120 days)
- 4. **Legitimate Employment:** Spouse must perform real work; cannot be disguised compensation

Spouse Employment Structure:

Role Component	Details
Job Title	Administrative Assistant / Bookkeeping Support
Time Commitment	5-10 hours per month (60-120 hours annually)
Hourly Rate	\$25-35/hour (market rate for administrative work)
Annual Compensation	\$1,500-\$4,200 (W-2 wages)
Reimbursable Expenses	\$3,000-\$5,000 annually (tax-free to spouse)

Legitimate Job Duties for Spouse:

- ✓ Data entry for bookkeeping clients (actual client work)
- ✓ Invoice preparation and client billing

- ✓ Expense tracking and receipt organization
- ✓ Client communication and appointment scheduling
- ✓ Administrative paperwork and filing
- ✓ Research for client projects or business development

Reimbursable Expenses Under Accountable Plan:

Expense Category	Monthly Amount	Annual Amount	Documentation Required
Cell Phone (Business Portion)	\$50-100	\$600-\$1,200	Phone bill showing business calls/data usage
Home Internet (Business Portion)	\$30-50	\$360-\$600	Internet bill, log of business usage
Mileage (Business Errands)	100-200 miles	\$840-\$1,680	Mileage log (70¢/mile for 2025)
Business Meals	\$50-100	\$600-\$1,200	Receipts with business purpose noted
Professional Development	\$50-100	\$600-\$1,200	Course receipts, conference registration
Total Annual Reimbursements		\$3,000-\$5,000	

Your Tax Savings: \$5,000 reimbursements × 33.3% marginal rate = \$1,665 federal/state savings + \$765 FICA savings (if expenses would have been personal) = **\$2,430 total potential value**

Implementation Steps:

1. **January 2026:** Confirm spouse availability and interest in administrative role (5-10 hours/month commitment).
2. **January 2026:** Draft formal job description listing specific duties and responsibilities. Document expected hours and compensation rate.
3. **January 2026:** Add spouse to payroll. Issue first paycheck. Ensure W-2 reporting at year-end.
4. **January 2026:** Create written Accountable Plan policy document. Template available from CPA or online resources. Document must include: business connection requirement, adequate accounting requirement, return of excess requirement, and 60-day substantiation deadline.
5. **Monthly 2026:** Spouse submits expense reports with receipts by 15th of following month. Review for business purpose. Reimburse within 30 days. Maintain expense report files for 7 years.

Required Documentation (Critical for Audit Defense):

- **Job Description:** Written document outlining spouse's role, duties, hours, and compensation
- **Time Tracking:** Log of hours worked each month with description of tasks performed
- **Accountable Plan Policy:** Formal written policy meeting IRS requirements
- **Expense Reports:** Monthly submissions showing date, amount, business purpose, and receipt attachment
- **Receipts:** All original receipts organized and filed
- **Mileage Log:** Date, starting odometer, ending odometer, destination, business purpose for each trip

Common Pitfalls to Avoid:

- Paying spouse excessively high wages for minimal work (triggers reasonable compensation scrutiny)
- No actual work performed (disguised gift to spouse = not deductible)
- Missing or inadequate documentation of expenses
- Failing to substantiate business purpose for reimbursed expenses
- Not returning excess reimbursements (converts to taxable wages)
- Mixing personal and business expenses without clear allocation

Additional Benefits: Beyond tax savings, establishing spouse as employee creates opportunities for: health insurance deduction (if spouse is only employee), retirement plan contributions in spouse's name, and building Social Security credits for spouse's retirement.

Strategy #8: Vehicle Section 179 Deduction

Annual Value: \$4,995 - \$9,990

Why This Strategy: Section 179 allows immediate expensing of vehicle purchases used for business, rather than depreciating over 5 years. For vehicles over 6,000 lbs GVWR (Gross Vehicle Weight Rating), you can deduct the full purchase price. For lighter vehicles and SUVs 6,000-14,000 lbs, there's a \$31,300 first-year limit for 2025.

2025 Vehicle Deduction Limits:

Vehicle Category	First-Year Limit	Requirements
Passenger Cars (≤6,000 lbs)	\$20,400 (estimated 2025)	>50% business use required
SUVs (6,000-14,000 lbs GVWR)	\$31,300 Section 179 + bonus depreciation on remainder	>50% business use required
Heavy Trucks/Vans (>14,000 lbs GVWR)	Full purchase price (up to \$2,500,000)	>50% business use required
Specialized Commercial Vehicles	Full purchase price (up to \$2,500,000)	>50% business use required

Your Vehicle Strategy Options:

Option 1 - Purchase Heavy SUV (6,000-14,000 lbs GVWR):

- Examples: Cadillac Escalade, Chevy Suburban, GMC Yukon XL, Ford Expedition Max, Lincoln Navigator
- Purchase price: \$75,000 (example)
- Section 179 deduction: \$31,300
- Remaining \$43,700 eligible for 100% bonus depreciation (restored by OBBBA for 2025)
- Total first-year deduction: \$75,000 (full purchase price)
- Your tax savings: $\$75,000 \times 33.3\% = \$24,975$ + \$11,475 FICA savings = **\$36,450 total**
- Requirement: Must use >50% for business (track mileage carefully)

Option 2 - Standard Mileage Deduction (Current Vehicle):

- 2025 standard mileage rate: 70¢ per mile
- Estimate: 10,000 business miles annually
- Deduction: $10,000 \times \$0.70 = \$7,000$
- Your tax savings: $\$7,000 \times 33.3\% = \$2,331$ + \$1,071 FICA savings = **\$3,402 total**
- Simpler documentation: just need mileage log

Option 3 - Actual Expenses Method (Current Vehicle):

- Track all vehicle expenses: gas, insurance, repairs, registration, depreciation
- Example: \$12,000 total vehicle expenses $\times$ 60% business use = \$7,200 deduction
- Your tax savings: $\$7,200 \times 33.3\% = \$2,398$ + \$1,101 FICA savings = **\$3,499 total**
- Must use in first year of business use; then can switch to standard mileage in later years

Recommended Approach for Your Situation:

Given your 2026 real estate investment goal, **Option 2 (Standard Mileage)** is recommended for 2025 to preserve capital. In 2026, after property purchase, if you need a business vehicle for property management activities, consider Option 1 for maximum deduction.

Implementation - Standard Mileage Method:

1. **December 2025:** Download mileage tracking app (MileIQ, Everlance, or Stride recommended).
2. **Week 2:** Begin logging all business miles: client meetings, bank deposits, supply purchases, networking events, property viewings (2026), office supply runs.
3. **Daily Habit:** Log each business trip immediately. Note: date, starting location, ending location, odometer start/end, business purpose.
4. **Personal Use:** Also track personal miles to establish business use percentage and defend against audit.
5. **Year-End 2025:** Summarize total business miles. Calculate deduction (business miles $\times$ \$0.70).

Mileage Log Best Practices:

- ✓ **Contemporaneous:** Log trips as they occur, not reconstructed later
- ✓ **Business Purpose:** Specific reason for each trip (avoid vague "business meeting")
- ✓ **Complete Information:** Date, odometer readings, destination, miles, purpose
- ✓ **Commute Exclusion:** Trips from home to regular office are not deductible (but home office eliminates commute)
- ✓ **Mixed Purpose:** If trip serves both business and personal purpose, allocate appropriately

2026 Vehicle Purchase Decision Factors:

If considering vehicle purchase in 2026 after real estate acquisition:

- Will you genuinely use vehicle >50% for business? (Property visits, supply runs, contractor meetings)
- Do you need the vehicle for business operations, or is it primarily personal?
- Can you document business use? (Stricter scrutiny for luxury vehicles)
- Is purchase timing optimal? (Must be in service by December 31 for that year's deduction)
- Does immediate deduction provide more value than capital preservation?

Strategy #9: QBI (Qualified Business Income) Deduction Optimization

Annual Value: \$3,330 - \$6,660

Why This Strategy: Section 199A allows pass-through business owners (S-Corp, LLC) to deduct 20% of qualified business income, creating substantial tax savings. The One Big Beautiful Bill Act made this deduction permanent in 2025, providing long-term tax planning certainty.

How QBI Works with S-Corporation: After S-Corp election, your income splits into W-2 salary (not eligible for QBI) and business distributions (eligible for QBI deduction). The 20% deduction applies to the distribution portion, reducing your taxable income.

Your Optimization Strategy:

Income Component	Amount	QBI Deduction	Tax Savings
W-2 Salary (Not QBI Eligible)	\$45,000	\$0	\$0
S-Corp Distribution (QBI Eligible)	\$35,000	\$7,000 (20%)	\$2,331
Total S-Corp Net Income			\$80,000

Your Estimated QBI Benefit: $\$35,000 \text{ distribution} \times 20\% = \$7,000 \text{ deduction} \times 33.3\% \text{ marginal rate} = \text{\$2,331 in tax savings}$

If Higher Distribution Amount (\$45K distribution, \$40K salary): $\$45,000 \times 20\% = \$9,000 \text{ deduction} \times 33.3\% = \text{\$2,997 tax savings}$

Key QBI Optimization Principles:

- 1. **Balance W-2 vs Distribution:** Lower W-2 salary = larger QBI deduction, BUT must maintain "reasonable compensation" to avoid IRS scrutiny. Sweet spot: 50-60% of net profit as W-2.
- 2. **2025 Thresholds:** QBI deduction begins phasing out at \$383,900 (married filing jointly) or \$191,950 (single). Your income is well below these limits, so full 20%

deduction available.

3. **Service Business Consideration:** Consulting is a "specified service trade or business" (SSTB), subject to income phase-out limits. However, below threshold = full deduction available.

Calculating Your Optimal W-2 Salary:

Work with your CPA to determine reasonable compensation based on:

- **Industry Standards:** What do similar consulting/bookkeeping businesses pay?
- **Your Qualifications:** Experience, education, specialized skills
- **Hours Worked:** Full-time equivalent or part-time?
- **Services Provided:** Complexity and value of work performed
- **Geographic Location:** California compensation rates

IRS Reasonable Compensation Factors:

- ✓ For \$80K net profit consulting business: \$40K-\$50K salary is defensible (50-62% ratio)
- ✓ Document your analysis: print industry salary surveys, document hours worked, note geographic adjustment
- ✓ Avoid aggressive splits like 20% salary / 80% distribution (major audit trigger)
- ✓ Annual review: adjust salary as business income changes

QBI Calculation Example (2026 Projection):

1. S-Corp net income: \$80,000
2. W-2 salary paid to yourself: \$45,000 (56% of net income)
3. Remaining distribution: \$35,000 (44% of net income)
4. QBI deduction: $\$35,000 \times 20\% = \$7,000$
5. Taxable income reduction: \$7,000
6. Tax savings: $\$7,000 \times 33.3\% = \$2,331$

Combined S-Corp Benefits (Strategies #2 + #9):

Benefit Component	Annual Savings
FICA Tax Savings on Distributions	\$5,355 ($\$35,000 \times 15.3\%$)
QBI Deduction Tax Savings	\$2,331 ($\$7,000 \times 33.3\%$)
Total S-Corp Tax Benefit	\$7,686 annually

Annual QBI Optimization Review: Each year, work with your CPA to:

- Review actual business income and adjust salary if needed
- Recalculate QBI deduction based on final distribution amount
- Document reasonable compensation analysis
- Adjust W-2 withholding to optimize cash flow
- Consider timing of distributions (before or after year-end) for tax planning

Strategy #10: Section 179 Equipment Expensing

Annual Value: \$1,665 - \$3,330

Why This Strategy: Section 179 allows immediate expensing of business equipment and software purchases, rather than depreciating over 3-7 years. The One Big Beautiful Bill Act doubled the Section 179 limit to \$2,500,000 for 2025, making it extremely valuable for equipment-intensive businesses.

2025 Section 179 Limits:

- ✓ Maximum Deduction: \$2,500,000 (doubled from \$1,250,000 in 2024)
- ✓ Phase-Out Threshold: Begins at \$4,000,000 in total equipment purchases
- ✓ Applies to: New and used equipment, software, furniture, computers
- ✓ Requirement: Equipment must be purchased and placed in service by December 31

Qualifying Equipment for Your Consulting Business:

Equipment Item	Estimated Cost	Business Justification
High-Performance Computer/Laptop	\$2,500 - \$3,500	Client work, bookkeeping software, video calls
Second Monitor or Dual Monitor Setup	\$400 - \$800	Productivity for bookkeeping work
Office Desk & Ergonomic Chair	\$800 - \$1,500	Home office setup for business use
File Cabinets & Storage	\$200 - \$500	Client file organization and record storage
Software Subscriptions (Paid Annually)	\$1,000 - \$2,000	QuickBooks, Microsoft 365, Adobe, project management
Printer/Scanner/Copier	\$300 - \$600	Client document processing
Phone System or Professional Cell Phone	\$500 - \$1,000	Client communications, business calls
Total Estimated Equipment	\$5,700 - \$10,900	

Your Conservative Equipment Purchase Plan (\$5,000):

- Deduction: \$5,000
- Tax Savings: $\$5,000 \times 33.3\% = \$1,665 + \$765 \text{ FICA} = \mathbf{\$2,430 \text{ total benefit}}$

Your Aggressive Equipment Purchase Plan (\$10,000):

- Deduction: \$10,000
- Tax Savings: $\$10,000 \times 33.3\% = \$3,330 + \$1,530 \text{ FICA} = \mathbf{\$4,860 \text{ total benefit}}$

Implementation Guidelines:

1. **Week 3 (December 2025):** Assess genuine business equipment needs. List items that would improve productivity or are necessary for operations.
2. **Week 4 (December 2025):** Purchase equipment needed for business. Must be purchased AND placed in service (delivered, set up, ready to use) by December 31, 2025.
3. **Documentation:** Keep all purchase receipts, invoices, delivery confirmations. Take photos of equipment in business use.
4. **Tax Filing:** Complete Form 4562 (Depreciation and Amortization) electing Section 179 treatment for these purchases.

Important Rules and Limitations:

- **Placed in Service:** Equipment must be delivered AND ready to use by December 31. Ordering on December 30 with January 5 delivery doesn't qualify for 2025.
- **Business Use Requirement:** Equipment must be used >50% for business. Personal use percentage is not deductible.
- **Income Limitation:** Section 179 deduction cannot exceed business taxable income (before Section 179). Excess carries forward to future years.
- **Real Property Exclusion:** Land, buildings, and structural components don't qualify. However, certain qualified improvement property (e.g., interior improvements to nonresidential buildings) may qualify.

Strategic Timing Considerations:

- ✓ Purchase needed equipment in Q4 when you have better clarity on annual income and tax liability
- ✓ Coordinate with CPA to ensure purchases stay within income limitation
- ✓ Consider 2026 purchases for equipment needed after real estate acquisition (property management tools, equipment)
- ✓ Don't buy equipment solely for deduction; only purchase what genuinely benefits the business

2026 Real Estate Equipment Opportunities: After property purchase, additional Section 179 opportunities may include: appliances for rental unit, landscaping



equipment (if maintaining property yourself), tools for property maintenance, security system equipment.

Implementation Timeline: 30-Day Action Plan

Week 1: November 25 - December 1, 2025

- ☐ Contact HR/payroll to adjust W-4 withholding (-\$555/month withholding = +\$6,660 annual cash flow)
- ☐ Open HSA account during W-2 employer open enrollment period
- ☐ Discuss spouse employment opportunity: Is spouse available 5-10 hrs/month for administrative work?
- ☐ Calculate actual 2025 LLC net profit to determine Solo 401(k) contribution capacity
- ☐ Schedule January meeting with CPA to discuss S-Corp election strategy and reasonable compensation analysis

Week 2: December 2-8, 2025

- ☐ Measure home office square footage and take photos showing exclusive business use
- ☐ Calculate business use percentage of current vehicle (total miles driven, business miles)
- ☐ Download and set up mileage tracking app (MileIQ, Everlance, or Stride)

- ☐ Begin logging all business vehicle trips with date, miles, destination, and business purpose
- ☐ Draft 2026 Augusta Rule implementation plan: Create meeting schedule for 14 business meeting days
- ☐ Research comparable meeting space rental rates in Huntington Beach (Airbnb, VRBO, Peerspace)
- ☐ List potential Section 179 equipment purchases: assess genuine business needs vs. wants

Week 3: December 9-15, 2025

- ☐ Open Solo 401(k) account with provider (Fidelity, Vanguard, or Schwab). Must be established by 12/31/25.
- ☐ Gather all 2025 business expense receipts and organize by category
- ☐ Document 2025 consulting projects, hours worked, and revenue for QBI calculation and reasonable compensation analysis
- ☐ If spouse agrees to employment: Draft formal job description detailing administrative duties, hours, and compensation rate
- ☐ Order business equipment if needed for Section 179 deduction (must arrive and be placed in service by 12/31/25)
- ☐ Calculate estimated Q4 2025 LLC profit to determine exact Solo 401(k) contribution amount

Week 4: December 16-31, 2025

- ☐ Make Solo 401(k) employer contribution by December 31 (employee portion can be made by April 15, 2026)
- ☐ Make 2025 HSA contribution (maximum \$8,550 family coverage, pro-rated if not covered full year)
- ☐ If equipment purchased: Ensure delivered and placed in service by December 31 for Section 179 deduction eligibility
- ☐ Finalize all 2025 business expense documentation and receipts for tax preparation
- ☐ Confirm 2026 client meeting schedule for Augusta Rule implementation (target 12-14 business meeting days)
- ☐ Prepare year-end business financial summary for CPA: gross revenue, expenses, net profit, mileage totals

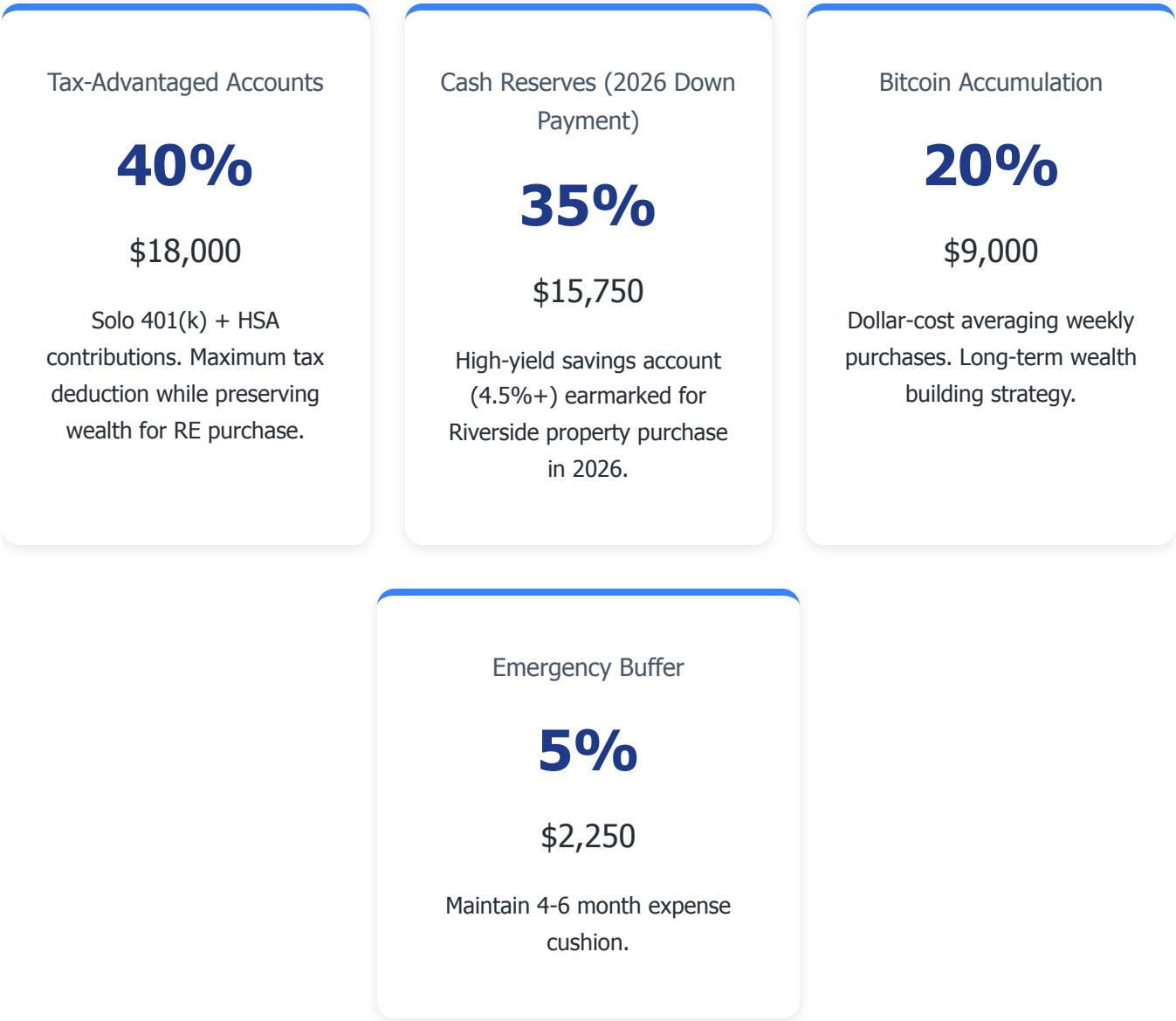
January 2026: S-Corporation Transition Month

- ☐ Execute Backdoor Roth IRA: (1) Contribute \$7,000 to Traditional IRA for 2025, (2) Convert to Roth IRA within 1-2 days, (3) File Form 8606 with 2025 tax return
- ☐ File Form 2553 (S-Corporation Election) by March 15, 2026, for retroactive effective date of January 1, 2026
- ☐ If spouse employee: Set up payroll system, create Accountable Plan policy document, add spouse to payroll
- ☐ Open separate business bank account for S-Corp if not already established

- Begin Augusta Rule implementation: Host first client strategy meeting at home, document with agenda, attendee list, and business outcomes
- Schedule quarterly meetings with CPA throughout 2026 to ensure compliance and optimize tax strategy execution
- Determine W-2 reasonable compensation amount with CPA for QBI optimization (recommend \$40K-\$50K salary range)
- Set up Solo 401(k) for 2026 contributions under new S-Corp structure (coordinate with payroll)

Investment Strategy & Capital Allocation

2025 Capital Deployment (\$45,000 Available)



2026 Post-Implementation Monthly Cash Flow Strategy

After S-Corp election and tax strategy implementation, your monthly LLC profit (after business expenses and reasonable salary) will be approximately \$6,000-\$7,000 in distributions. Recommended allocation:

Allocation Category	Percentage	Monthly Amount	Annual Amount
Tax-Advantaged (401k, HSA)	30%	\$1,800 - \$2,100	\$21,600 - \$25,200
Bitcoin Accumulation	50%	\$3,000 - \$3,500	\$36,000 - \$42,000
Real Estate Fund	20%	\$1,200 - \$1,400	\$14,400 - \$16,800

Bitcoin Investment Strategy

Dollar-Cost Averaging (DCA) Approach: Rather than attempting to time the market, implement systematic weekly Bitcoin purchases to smooth out volatility and reduce emotional decision-making.

Recommended Implementation:

- ✓ **2025 Initial Deployment:** $\$9,000 \div 52 \text{ weeks} = \$173/\text{week}$ automatic purchases
- ✓ **2026 Ongoing:** $\$3,000\text{-}\$3,500/\text{month} = \$750\text{-}\$875/\text{week}$ automatic purchases
- ✓ **Platform:** Use low-fee exchange (Coinbase Pro, Kraken, or Swan Bitcoin for automatic DCA)
- ✓ **Security:** Move significant holdings to hardware wallet (Ledger or Trezor) for long-term storage
- ✓ **Tax Planning:** Track cost basis carefully for each purchase. Hold >1 year for long-term capital gains treatment.

Bitcoin Allocation Rationale: Bitcoin represents digital scarcity with fixed supply of 21 million coins, making it potentially valuable long-term inflation hedge. However, it's highly volatile; DCA approach reduces timing and smooths entry pricing. This allocation assumes you're comfortable with volatility and have 10+ year investment horizon.

Real Estate Investment Strategy (2026 Focus)

Riverside Property Target: House-hack or owner-occupied rental with ADU (Accessory Dwelling Unit) or detached garage conversion potential.

Why This Strategy:

- ✓ **House-Hacking Benefits:** Live in primary unit, rent ADU/garage conversion. Primary residence loan rates (lower than investment property). Build equity while generating rental income to offset mortgage.
- ✓ **Riverside Market:** More affordable than Huntington Beach/Orange County, but growing market with appreciation potential. ADU-friendly city policies.
- ✓ **Tax Benefits:** Primary residence capital gains exclusion (\$250K single, \$500K married) on eventual sale. Rental income from ADU can be offset by depreciation.
- ✓ **Expansion Platform:** Provides foundation for future real estate portfolio growth.

2026 Real Estate Timeline:

1. **Q1 2026:** Accumulate down payment (\$40K-\$80K target from savings + tax refunds)
2. **Q2 2026:** Get pre-approved for mortgage. Work with real estate agent familiar with Riverside ADU properties.
3. **Q2-Q3 2026:** Property search and purchase. Close on house-hack property.
4. **Q3-Q4 2026:** If needed, complete ADU/garage conversion. Begin renting additional unit.
5. **Q4 2026:** Implement real estate tax strategies (see Section 9: Future Strategies 2026-2027)

Tax-Advantaged Account Growth Projections

Assuming annual contributions and 8% growth:

Account	2025 Contribution	10-Year Value	30-Year Value
Solo 401(k)	\$69,000	\$1,089,000	\$8,670,000
Backdoor Roth IRA	\$7,000	\$110,000	\$878,000

Account	2025 Contribution	10-Year Value	30-Year Value
HSA	\$8,550	\$135,000	\$1,072,000
Total	\$84,550	\$1,334,000	\$10,620,000

Projections assume maximum annual contributions and 8% average annual return. Actual results will vary based on investment performance and contribution amounts.

Future Tax Strategies: 2026-2027 Real Estate Phase

After your 2026 real estate purchase, additional high-value tax strategies become available. These strategies can add \$84,000-\$216,000 in additional annual tax benefits.

Strategy	Estimated Annual Value	Trigger/Requirement	Timeline
Cost Segregation Study	\$16,650 - \$99,900	Investment property purchase	Q4 2026
Short-Term Rental Strategy	\$9,990 - \$66,600+	<7 day average stay + material participation	2026-2027
Multiple Entity Structure	\$6,660 - \$16,650	Separate RE LLC from consulting	Q1 2026
Real Estate Professional Status	\$16,650 - \$99,900+	750+ hours/year in RE + spouse participation	2027+
Expanded Spouse Employment	\$3,330 - \$6,660	Increase to 20 hours/month property management role	2026

Cost Segregation Study (Available Q4 2026)

What It Is: Engineering-based analysis that identifies property components that can be depreciated faster than the standard 27.5 years (residential) or 39 years (commercial). Components like carpeting, appliances, landscaping, electrical systems are reclassified as 5, 7, or 15-year property.

How It Creates Value: With 100% bonus depreciation now permanent (OBBBA), accelerated components can be fully deducted in year 1, creating massive paper losses to offset other income.

Example: \$600,000 Property Purchase

- Standard depreciation: $\$600,000 \div 27.5 \text{ years} = \$21,818/\text{year}$
- With cost segregation: \$250,000 reclassified to 5/7/15-year property
- Year 1 deduction with 100% bonus depreciation: \$250,000
- Your tax savings: $\$250,000 \times 33.3\% = \textbf{\$83,250 first-year benefit}$

Implementation: Hire qualified cost segregation firm (\$5,000-\$10,000 cost) within first year of property ownership. Firm conducts site visit, analyzes building components, produces detailed engineering report. Report filed with tax return.

Best For: Properties purchased for \$400,000+. Higher-value properties yield better cost/benefit ratio.

Short-Term Rental (STR) Strategy

The Strategy: If you rent your ADU/garage conversion as a short-term rental (average stay <7 days), and you materially participate in management, rental losses can offset your W-2 income without meeting Real Estate Professional Status requirements.

Key Requirements:

- ✓ Average guest stay must be <7 days (not 7 nights, exactly 7 days)
- ✓ Material participation: >100 hours AND more than any other person
- ✓ Substantial services provided: cleaning between guests, amenities, guest communication

How It Creates Value:

1. STR generates rental income: \$30,000/year (example)
2. Expenses offset income: management, cleaning, supplies, utilities, insurance, maintenance, depreciation
3. With aggressive deductions (cost segregation): Generate \$50,000 in paper losses

4. Net loss: -\$20,000 (income minus expenses/depreciation)
5. This \$20,000 loss offsets your W-2 income (not passive loss, due to STR exception)
6. Tax savings: $\$20,000 \times 33.3\% = \$6,660$

Your ADU Implementation Strategy:

- List ADU on Airbnb/VRBO with minimum 3-night stay (keeps average <7 days)
- Provide substantial services: professional cleaning between guests, stocked amenities, welcome package, 24/7 guest support
- Document hours: guest communication, bookings, cleaning coordination, maintenance, supply shopping
- Target: 100-150 hours annual participation (2-3 hours/week)
- Track meticulously: IRS heavily scrutinizes STR losses offsetting W-2 income

Documentation Requirements: Detailed time log (date, activity, hours), guest reservation records showing average stay <7 days, receipts for all expenses, photos of property showing services provided, cleaning receipts/logs.

Multiple Entity Structure

Why Separate Entities: Operating consulting business and real estate investment through separate legal entities provides liability protection, cleaner accounting, and tax optimization opportunities.

Recommended Structure (2026):

- **Entity #1:** Consulting S-Corporation (existing) - active business income, W-2 salary, QBI deduction
- **Entity #2:** Real Estate LLC - rental income, depreciation, passive or STR active income
- **Optional Entity #3:** Management Company LLC - family member employment, service fees to RE LLC

Tax Benefits:

- ✓ Separate entity allows spouse to be Real Estate Professional (750+ hours in RE) while you maintain W-2 job
- ✓ Management entity creates family employment opportunities for spouse/children
- ✓ Clear segregation of business types prevents activity reclassification issues
- ✓ Asset protection: consulting business liability doesn't affect real estate holdings

Setup Cost: \$500-\$1,500 per entity (state filing fees, operating agreement, EIN).

Annual maintenance: \$800-\$2,000 per entity (tax return, registered agent, annual fees).

Real Estate Professional Status (REPS)

The Big Prize: If you or your spouse qualifies as a Real Estate Professional, ALL rental real estate losses become non-passive and can offset W-2 income, unlimited amount.

Qualification Requirements:

- 750+ hours per year in real property trades or businesses
- More than 50% of personal services in real property trades
- Material participation in each rental activity (100+ hours OR 500+ hours in all activities)

Spouse Strategy (Recommended for 2027+): You maintain W-2/consulting income. Spouse dedicates to real estate activities full-time or substantial part-time, meeting 750-hour threshold.

Qualifying Activities for 750 Hours:

- ✓ Property management: tenant screening, lease negotiations, rent collection, issue resolution
- ✓ Maintenance and repairs: coordinating contractors, performing repairs, inspections

- ✓ Property search and acquisition: viewing properties, due diligence, negotiations
- ✓ Property improvement projects: renovation oversight, design decisions, contractor management
- ✓ Real estate education: courses, seminars, license preparation (if pursuing)
- ✓ Administrative: bookkeeping, tax preparation assistance, documentation

Documentation Requirements (Absolutely Critical): IRS heavily scrutinizes REPS claims. Maintain contemporaneous daily log showing: date, activity description, time spent (hours:minutes), property addressed. Many practitioners recommend dedicated mobile app or spreadsheet updated daily, not reconstructed at year-end.

Potential Tax Benefit: If you expand to 3-5 rental properties generating combined \$100,000 in depreciation losses, and spouse qualifies as REPS, you can offset \$100,000 of W-2 income, saving \$33,300 in taxes annually.

Entity Structure Evolution

Current State (2025)

Component	Details
Business Entity	Single-Member LLC (disregarded entity)
Tax Treatment	Schedule C (self-employment tax on all profit)
Income	W-2 (\$200K-\$299K) + LLC profit (\$70K-\$90K estimated)
Tax Optimization	Limited to basic deductions (home office, vehicle, retirement)

Optimized State (2026 After S-Corp Election)

Component	Details
Consulting Business	S-Corporation (pass-through taxation with FICA savings)
Real Estate Holdings	Separate LLC (liability protection + tax flexibility)
Income Structure	W-2 salary + S-Corp distributions + rental income
Tax Optimization	10 strategies + real estate tax benefits + entity optimization

Future State (2027+ Real Estate Portfolio Growth)

Component	Details
Consulting S-Corp	Active business income, W-2 salary, QBI deduction

Real Estate LLC #1	Primary residence + ADU (house-hack with STR)
Real Estate LLC #2	Additional investment properties (2-4 units)
Management LLC (Optional)	Property management services, spouse employment
Tax Strategy	REPS (spouse) + cost segregation across portfolio + STR strategy

Monthly Financial Tracking & Key Metrics

Establish systematic tracking to measure progress, ensure compliance, and optimize decision-making. Review these metrics monthly:

Business Performance Metrics

Metric	Target	How to Track
Monthly LLC Revenue	\$8,000 - \$10,000	QuickBooks revenue report
Monthly Business Expenses	\$1,500 - \$2,500	Categorized expense tracking
Net Profit Margin	75%+	$(\text{Revenue} - \text{Expenses}) \div \text{Revenue}$
Business Mileage (Monthly)	400-600 miles	MileIQ or Everlance app
Client Retention Rate	90%+	Active clients vs. previous quarter

Tax Strategy Implementation Metrics

Strategy	Monthly/Quarterly Action	Annual Target
Solo 401(k) Contributions	Track profit to calculate max contribution	\$69,000 maximum

Strategy	Monthly/Quarterly Action	Annual Target
HSA Contributions	\$712.50/month	\$8,550 family maximum
Augusta Rule Days Used	1-2 meetings/month in 2026	14 days maximum
Spouse Hours Worked	5-10 hours/month	60-120 hours/year
S-Corp Salary Payments	Process monthly payroll	\$40,000-\$50,000 W-2

Wealth Building Metrics

Category	Monthly Target	Annual Target
Real Estate Down Payment Fund	+\$1,200-\$1,400	\$40,000-\$80,000 by Q2 2026
Bitcoin Accumulation	\$750-\$875/week DCA	\$36,000-\$42,000 in 2026
Tax-Advantaged Savings	\$1,800-\$2,100	\$21,600-\$25,200
Emergency Fund Balance	Maintain minimum	4-6 months expenses (\$60K-\$90K)

Compliance & Documentation Checklist

- ☐ **Monthly:** Update mileage log for all business trips
- ☐ **Monthly:** Categorize and file business expense receipts
- ☐ **Monthly:** Review spouse accountable plan expense reports (2026)
- ☐ **Monthly:** Document Augusta Rule meeting agendas and attendees (2026)
- ☐ **Quarterly:** Review business profit and adjust estimated tax payments

- **Quarterly:** File Form 941 (payroll tax return) for S-Corp (2026)
- **Quarterly:** Meet with CPA to review strategy implementation
- **Annually:** Review reasonable compensation calculation for S-Corp
- **Annually:** Maximize retirement account contributions before deadline
- **Annually:** Execute Backdoor Roth IRA contribution and conversion

Professional Team Requirements

Implementing these strategies effectively requires a coordinated professional team. Here are the key roles needed:

CPA / Tax Strategist (Critical)

When to Hire: Immediately (by December 2025)

Services Needed:

- S-Corporation election filing and setup guidance
- Reasonable compensation analysis documentation
- Quarterly tax planning meetings
- Annual tax return preparation (1120-S, 1040, state returns)
- QBI deduction optimization calculations
- Augusta Rule implementation review and compliance verification

Expected Cost: \$3,000-\$6,000 annually for S-Corp return + quarterly consultations. Investment pays for itself many times over through proper strategy implementation.

What to Look For: CPA experienced with S-Corporations, real estate taxation, and high-income individual tax planning. Proactive advisor who suggests strategies, not just compliance-focused preparer.

Payroll Service Provider

When to Hire: January 2026 (S-Corp setup)

Services Needed:

- Monthly or quarterly payroll processing for you (and spouse if hired)
- Quarterly 941 payroll tax filing
- Annual W-2 preparation

- Form 940 (Federal Unemployment Tax) filing

Recommended Providers: Gusto (\$40-\$80/month), QuickBooks Payroll (\$45-\$125/month), or ADP (custom pricing). Choose platform that integrates with your accounting software.

Financial Advisor / Wealth Manager (Optional but Recommended)

When to Hire: Q1 2026 (after initial implementation)

Services Needed:

- Investment strategy oversight for retirement accounts
- Bitcoin accumulation strategy and custody recommendations
- Real estate investment analysis and property evaluation
- Long-term wealth building roadmap (5-10-20 year plans)
- Coordination with CPA on tax-efficient investment strategies

Expected Cost: Fee-only advisor: \$2,000-\$5,000/year flat fee OR 0.5-1% AUM (assets under management). Ensure advisor is fiduciary and has experience with cryptocurrency and real estate.

Real Estate Agent (2026)

When to Hire: Q1 2026 (pre-approval phase)

Services Needed:

- Riverside market expertise, particularly ADU and house-hack properties
- Property search and showing coordination
- Offer negotiation and contract management
- Connection to inspectors, contractors, lenders

What to Look For: Agent experienced with investment properties and house-hacking strategies in Riverside. Bonus if they understand ADU permitting and conversion potential.

Cost Segregation Specialist (Post-Property Purchase)

When to Hire: Q4 2026 (after property purchase)

Services Needed:

- Property site visit and component analysis
- Engineering-based cost segregation study
- IRS-compliant report for tax return attachment
- Calculation of accelerated depreciation deductions

Expected Cost: \$5,000-\$10,000 for residential property under \$1M. Pays for itself in first year through tax savings if property value is \$400,000+.

Recommended Firms: KBKG, Madison SPECS, Cost Seg America. Ensure firm has engineers on staff and produces IRS-compliant reports.

Quarterly Review Schedule

Schedule these recurring meetings to ensure strategy stays on track:

Q4 2025 (Now - December 31, 2025)

- ☐ Initial CPA consultation to review this plan and confirm strategy appropriateness
- ☐ Open Solo 401(k) and HSA accounts
- ☐ Implement immediate strategies (W-4 adjustment, home office documentation, mileage tracking)

- ☐ Year-end tax optimization moves (equipment purchases if needed)

Q1 2026 (January - March)

- ☐ File S-Corporation election (Form 2553) by March 15
- ☐ Set up payroll system and determine reasonable compensation
- ☐ Execute Backdoor Roth IRA contribution and conversion
- ☐ Implement spouse employment and Accountable Plan (if applicable)
- ☐ Begin Augusta Rule implementation with first client meetings
- ☐ File 2025 tax return with all implemented strategies

Q2 2026 (April - June)

- ☐ CPA meeting: Review Q1 S-Corp payroll, adjust if needed
- ☐ Finalize real estate down payment accumulation
- ☐ Get mortgage pre-approval
- ☐ Begin property search in Riverside (ADU-capable properties)
- ☐ Review YTD tax withholding and make adjustments

Q3 2026 (July - September)

- ☐ CPA meeting: Mid-year tax projection, adjust strategy if needed

- ☐ Ideally close on investment property purchase
- ☐ Engage cost segregation specialist for property analysis
- ☐ If STR strategy applicable: Set up Airbnb/VRBO listings
- ☐ Review Augusta Rule progress (should be approaching 10-12 days used)

Q4 2026 (October - December)

- ☐ CPA meeting: Year-end tax planning for 2026
- ☐ Maximize retirement contributions for 2026
- ☐ Complete Augusta Rule meetings (reach 14-day maximum)
- ☐ Review first year of strategy implementation
- ☐ Plan 2027 optimization: consider REPS status, additional properties, strategy refinements
- ☐ Calculate actual tax savings achieved vs. projections

Key Assumptions & Planning Notes

Tax Rate Assumptions

This plan assumes 33.3% combined marginal tax rate (24% federal + 9.3% California). If your actual combined W-2 and LLC income places you in different tax bracket, all savings estimates should be recalculated proportionally. California state tax ranges 1-13.3% based on income.

LLC Profit Estimates

Calculations assume \$70,000-\$90,000 net profit from consulting/bookkeeping LLC. Solo 401(k) contribution capacity and S-Corp salary recommendations are based on this range. If actual profit differs significantly, revisit contribution amounts and salary structure with your CPA.

S-Corporation Timing

January 1, 2026, S-Corp effective date recommended to avoid Q4 2025 payroll complexity and year-end closing complications. This means 2025 tax return will be last Schedule C filing. 2026 will be first Form 1120-S filing (due March 15, 2027, or September 15 with extension).

Capital Preservation Focus

Investment allocation is deliberately conservative to maintain liquidity for 2026 real estate purchase. After property acquisition, investment strategy shifts more aggressively toward Bitcoin accumulation (70% of new capital) and real estate expansion (20%).

Augusta Rule Deferral Rationale

With current 3-5 hours/week consulting activity, establishing legitimate business justification for 14 days of home business meetings presents higher audit exposure. After S-Corp election and potential 2026 business expansion, stronger justification exists for client meetings, training sessions, and strategic planning events. Use 2025 to prepare documentation infrastructure for clean 2026 implementation.

Spouse Employment Assumption

Accountable Plan strategy assumes spouse is available and willing to work 5-10 hours/month in legitimate administrative role. If spouse is unavailable or uninterested, remove this strategy (\$1,665-\$2,331 from total projections) and consider hiring another family member or independent contractor for specific tasks.

Real Estate Timeline Variables

Property purchase timeline assumes favorable market conditions and successful property search in Riverside. If market conditions shift or suitable ADU-capable property is not found by Q3 2026, adapt strategy timeline. Real estate tax benefits (cost segregation, STR strategy) can be implemented whenever property is acquired, not limited to 2026.

Bonus Depreciation Permanence

One Big Beautiful Bill Act made 100% bonus depreciation permanent for property placed in service after January 19, 2025. This dramatically enhances cost segregation value and makes real estate investment significantly more tax-advantaged going forward. Previous law had bonus depreciation phasing down to 0% by 2027.

Bitcoin Investment Approach

Bitcoin allocation (20-70% of investable capital) reflects high conviction in digital asset long-term appreciation. This is aggressive positioning with corresponding volatility. If you have lower conviction or lower volatility tolerance, adjust allocation downward and increase traditional investment positions (index funds, bonds) accordingly. Bitcoin strategy assumes 10+ year hold period and dollar-cost averaging approach to smooth entry pricing.

Documentation Discipline Required

These strategies require substantially more documentation than basic Schedule C consulting. Success depends on maintaining contemporaneous records: mileage logs, meeting agendas, time tracking, expense reports, receipts. Invest in systems (apps, filing protocols, calendar discipline) to make documentation automatic rather than burdensome.

Success Factors & Final Recommendations

Your wealth optimization plan achieves maximum value when:

- ✓ **Implementation Timing:** Execute strategies according to timeline. Missing deadlines (Solo 401(k) by 12/31, S-Corp election by 3/15, Augusta Rule meetings) eliminates value

for that year.

- ✓ **Professional Coordination:** CPA, payroll provider, and financial advisor work together cohesively. Share this plan with all team members so everyone understands objectives.
- ✓ **Documentation Discipline:** Maintain meticulous records from day one. Reconstructing documentation after IRS inquiry is exponentially harder than maintaining ongoing logs.
- ✓ **Genuine Business Purpose:** Every strategy must serve legitimate business purpose beyond tax avoidance. Augusta Rule meetings must address real business matters. Spouse employment must involve real work. Vehicle use must be truly business-related.
- ✓ **Compliance Over Aggression:** When uncertain about strategy appropriateness, err on conservative side and consult CPA. Audit defense and penalties cost more than incremental tax savings from aggressive positions.
- ✓ **Regular Reviews:** Quarterly meetings with CPA ensure strategies adapt to changing circumstances, income fluctuations, and tax law updates.
- ✓ **Long-Term Perspective:** These strategies compound over decades. Solo 401(k) + Backdoor Roth IRA + HSA creating \$84,550/year in tax-advantaged contributions grows to \$10.6M over 30 years. Real estate portfolio with cost segregation builds generational wealth through leverage, appreciation, and tax-deferred cash flow.

Immediate Next Steps (This Week)

Priority 1: Schedule CPA consultation to review this plan and confirm S-Corporation strategy appropriateness for your situation. Obtain their Form 2553 filing service agreement for January 2026 execution.

Priority 2: Open Solo 401(k) account this week. Account must be established by December 31, 2025, to make 2025 contributions. Choose Fidelity, Vanguard, or Schwab. Complete online application (15 minutes). Requires: business EIN, business formation documents, estimated contribution amount.

Priority 3: Verify HSA eligibility and open account during W-2 employer open enrollment period. Ensure current health plan is qualified HDHP. If not, enroll in HDHP for 2026 to enable HSA contributions going forward.

Priority 4: Adjust W-4 withholding with W-2 employer. Calculate new withholding to reduce monthly withholding by approximately \$555 (\$6,660 annual increase in take-home). Use IRS Tax Withholding Estimator tool or consult with payroll department.

Priority 5: Download mileage tracking app and begin logging all business trips immediately. Establish habit of logging every business drive in real-time. Contemporaneous logs are critical for audit defense.

Measuring Success

By December 31, 2026, you will have achieved:

- ✓ \$50,000-\$75,000 in tax savings through 10 implemented strategies
- ✓ \$6,660 improved annual cash flow through W-4 optimization
- ✓ \$84,550 in tax-advantaged retirement contributions
- ✓ Successful S-Corporation transition reducing self-employment tax by \$5,000-\$10,000 annually
- ✓ Investment property acquired in Riverside with ADU capability
- ✓ Foundation established for 2027+ advanced real estate strategies (cost segregation, STR, potential REPS)
- ✓ Bitcoin accumulation strategy generating \$45,000+ in positions over 18 months
- ✓ Clear path to \$100,000+ annual tax savings as real estate portfolio expands

This plan positions you for substantial wealth acceleration through systematic tax optimization, strategic real estate investment, and disciplined Bitcoin accumulation. Implementation excellence determines outcomes.